

Spenny Piggy Payout and Risk Management System

Developer implementation guide for a weekly payout cycle using Stripe Connect direct charges, manual payouts, Thursday review controls, and Friday payout execution.

Core model	Direct charges on connected accounts Funds settle to the creator Stripe balance immediately.	Control point	Manual payouts only The platform controls when funds leave Stripe to the creator bank account.
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1. Operating principle

Creators are the Merchant of Record. Because charges are created on the connected account, Spenny Piggy cannot hold or intercept payment proceeds before they land in the creator Stripe balance.

The risk system therefore controls **payout timing**, not fund settlement. The platform delays the creator bank transfer by forcing all connected accounts onto manual payouts, then releasing approved payouts once a weekly review is complete.

2. Mandatory Stripe configuration

Every connected account must use manual payouts. This is a hard requirement for the review-and-release model.

```
{
  "settings": {
    "payouts": {
      "schedule": {
        "interval": "manual"
      }
    }
  }
}
```

With this configuration, payment proceeds are available on the connected account but are not sent to the creator bank account automatically.

3. Weekly payout cycle

The payout window is calculated on a **Friday 00:00:00 to Thursday 23:59:59** basis in the platform timezone. Payouts for that cycle are sent on the following Friday after review approval.

Day	Purpose	Expected system behavior
Friday	Open new cycle	Start collecting earnings into the current payout period.
Saturday to Wednesday	Monitoring window	Apply payment controls, track risk signals, reconcile refunds, and flag creators or supporters.
Thursday	Close and calculate	Freeze the payout window for calculation, compute each creator payable amount, and route exceptions to review.
Friday	Payout execution	Send payouts for creators marked approved. Held or frozen creators are skipped.

Important: Friday payouts must only include transactions whose effective earning date falls inside the immediately preceding Friday-to-Thursday window. The next cycle starts immediately after the prior cycle closes.

4. Payout calculation rules

The scheduler must calculate payout amounts from a ledger, not from raw event totals. The ledger should reflect successful payments, reversals, refunds, disputes, reserve holds, and previous manual adjustments.

Base formula

$\text{creator_payable} = \text{cleared_earnings_in_window} - \text{refunds_in_window} - \text{dispute_debits_in_window} - \text{reserve_holds} - \text{manual_adjustments}$

```
window_start = Friday 00:00:00  
window_end   = Thursday 23:59:59
```

```
creator_payable =  
    sum(successful_cleared_charges within window)  
    - sum(refunds posted within window)  
    - sum(dispute_debits posted within window)  
    - sum(platform_reserve_holds applied within window)  
    +/- sum(manual_adjustments approved within window)
```

If `creator_payable` is less than or equal to zero, no payout should be sent for that creator in that cycle.

5. Edge cases that must be handled

Scenario	Required treatment
Refund requested before Thursday close	Reduce the current cycle payable amount if the refund is posted before the payout calculation cut-off.
Refund requested after Thursday close but before Friday payout	Either recalculate before execution or move the adjustment into the next cycle. Pick one policy and keep it consistent in code and ops.
Dispute opened after payout already sent	Debit the creator in the next available cycle or hold future payouts until the negative exposure is covered.
Held creator	Calculate the cycle amount but do not execute the payout. Preserve the held balance for later review and release.
Partial hold	Support payout_split logic, for example 50 percent released and 50 percent held in reserve.
Negative creator balance	Do not send payout. Carry the negative amount forward and recover from future earnings.

6. Review states and Thursday approval

Each creator entering the Thursday review must be assigned one of the following statuses:

Status	Meaning	Friday action
approved	Cycle amount is cleared for payment.	Send payout.
held	Cycle amount is valid but payout is intentionally delayed pending checks.	Do not send payout.
frozen	Serious risk concern or compliance issue.	Do not send payout and escalate.

```
if creator.age_days < 14:
    status = "held"
elif creator.risk_score > 70:
    status = "frozen"
elif creator.has_open_compliance_issue:
    status = "frozen"
elif creator.has_pending_manual_review:
    status = "held"
else:
    status = "approved"
```

7. Recommended data model

Table	Minimum fields
payout_cycles	cycle_id, window_start, window_end, status, created_at, executed_at
creator_ledger_entries	entry_id, creator_id, event_type, event_amount, currency, effective_at, source_reference, cycle_id
creator_payout_reviews	review_id, creator_id, cycle_id, risk_score, status, approved_by, notes, reviewed_at
creator_payouts	payout_id, creator_id, cycle_id, gross_amount, net_amount, payout_status, stripe_payout_id, executed_at

8. Scheduler behavior

The system should use two schedulers:

- **Thursday close scheduler:** closes the active cycle, computes creator payable amounts, creates review rows, and prepares an approval queue.
- **Friday payout scheduler:** fetches approved creators only, creates Stripe payouts on the connected account, records success or failure, and leaves held or frozen records untouched.

```
for creator in approved_creators:
    if creator.net_amount > 0:
        create_stripe_payout(
            stripe_account=creator.connected_account_id,
            amount=creator.net_amount,
            currency=creator.currency
        )
        mark_payout_sent()
    else:
        mark_no_payout_required()
```

9. Operational rules

Do not rely on Stripe balance totals alone. Always reconcile against the internal ledger before payout execution.

Use a fixed timezone for payout windows and document it in code and admin UI. Do not let client locale change the cycle boundary.

Every payout decision must be auditable. Store the cycle, the calculation inputs, reviewer decision, and Stripe payout reference.

10. Delivery checklist for developers

- Set all connected accounts to manual payouts.
- Create payout cycle and ledger tables.
- Build Friday-to-Thursday calculation logic.
- Implement Thursday close review queue.
- Implement Friday payout scheduler for approved creators only.
- Support held, frozen, partial-hold, and negative-balance cases.
- Add admin logs for payout calculation, approval, and execution.